Oxford Cambridge and RSA – Practice Paper

GCE Economics

H060/01 Microeconomics – AS Level

Practice Paper 1 (Moderate) – Mark Scheme

This mark scheme follows the structure and marking principles of OCR H060/01 June 2024. Marks are awarded using the same level-of-response descriptors and command-word criteria.

MARKING INSTRUCTIONS (summary)
1. Mark strictly to the mark scheme. Award marks that fairly reflect knowledge and skills demonstrated.
2. Use the level-of-response grids for parts (e)* and Section C. Start at the highest level and work down.
3. For Section C, if a candidate writes two answers, mark both and award the highest mark.
4. Award No Response (NR) if nothing is written; award zero if there is text but it is not worthy of credit.
5. Use the standard annotations: ✓ correct, KU, APP, AN, EVAL, BOD (benefit of doubt), TV (too vague), NAQ (not answering question).

SECTION A – Multiple Choice

Question	Answer	AO	Rationale
1	**B**	AO1	A Higher honey prices are an effect on price, not an externality. B Correct: pollination of nearby orchards is a positive external benefit. C Noise from bees is a negative externality. D Risk of stings is a negative externality.
2	**B**	AO2 (QS)	A The 200 figure is the gain in electric cars, not the opportunity cost. B Correct: 1500 – 1200 = 300 petrol cars given up. C The candidate has reversed the calculation. D 1500 is the original quantity of petrol cars, not the opportunity cost.
3	**C**	AO2	A Positive statement (testable fact). B Positive statement (testable fact). C Correct: 'should' indicates a value judgement → normative. D Positive statement (testable fact).
4	**D**	AO1	A A bus ticket is a final service, not a composite demand good. B Bread has a primary single use. C A textbook has one main use. D Correct: steel is used in many products (cars, buildings, appliances) → composite demand.
5	**B**	AO3 (QS)	A A fall in input costs would shift supply right, not left. B Correct: a fall in subsidies raises supply costs, shifting supply left → higher P, lower Q. C A rise in the price of a substitute would shift demand for EVs right, not left. D Technology improvements would shift supply right.
6	**D**	AO1	A A firm is an economic agent. B A household is an economic agent. C A trade union represents labour and is an agent. D Correct: a price is a market signal, not an agent.
7	**A**	AO2 (QS)	A Correct: at £10, QD = 80, QS = 40, so excess demand = 80 – 40 = 40 units. B 80 is quantity demanded, not the surplus. C This would imply QS > QD, but at £10 demand exceeds supply. D Equilibrium is at £15 (where QD = QS = 60), not £10.
8	**C**	AO1	A Interest is the reward for capital. B Profit is the reward for enterprise. C Correct: a subsidy is a government payment, not a factor reward. D Wages are the reward for labour.
9	**C**	AO1	A Government-provided goods are not the same as free goods (they use resources). B Promotional 'free' items still use scarce resources. C Correct: free goods are not scarce – no opportunity cost. D Zero PED relates to elasticity, not to whether a good is 'free'.
10	**B**	AO2	A Demand will extend, not contract, when price falls. B Correct: at a lower-than-equilibrium price, suppliers offer fewer spaces. C There will be excess demand, not excess supply. D Maximum prices do affect the market by creating shortages.
11	**B**	AO1	A Central planning belongs to a planned economy. B Correct: consumer preferences via prices determine output in a market economy. C Quotas are an example of state allocation. D Unions do not determine what is produced overall.
12	**B**	AO3 (QS)	A The social optimum output is lower than the free market output where MSC > MPC. B Correct: at the free market output (MPC = D) the market over-produces, generating a welfare loss triangle. C MSC lies above MPC because external costs are added. D They differ by the external cost.
13	**C**	AO2 (QS)	% change in Q = (10000 – 8000)/8000 × 100 = +25% % change in P = (36000 – 40000)/40000 × 100 = –10% PED = +25 / –10 = –2.5 C Correct: PED = –2.5 (demand is price elastic).

Question	Answer	AO	Rationale
14	**C**	AO1	A Costs typically fall with division of labour. B Output per worker usually rises. C Correct: boredom and reduced job satisfaction are drawbacks of repetitive specialised tasks. D Workers usually need less general training.
15	**C**	AO1	A Medium of exchange is a function of money. B Store of value is a function of money. C Correct: 'means of production' is not a function of money – it refers to capital and labour. D Unit of account is a function of money.

SECTION B – Question 16

Question	Answer	Mark	Guidance
16 (a)	Using Fig. 1, state what percentage of UK consumers gave 'environmental concerns' as a reason for buying an electric vehicle. **42% (1)**	**1**	Accept 42 without the % sign. Annotate with ✓. **Quantitative skills rewarded in this question.**
16 (b) (i)	Using Fig. 2, calculate the percentage increase in new BEV registrations between 2018 and 2023. (315 – 15) / 15 (1) × 100 = **2000% (2)** Correct method (1)	**2**	Accept values between 1990% and 2010%. 2000% or 2000 alone = 2 marks. Correct calculation without multiplying by 100 = 1 mark. Annotate with ✓. **Quantitative skills rewarded.**
16 (b) (ii)	Using the YED value of +2.4, explain how a fall in real incomes will affect demand for EVs. A fall in real income of 10% will lead to a larger fall in demand for EVs of 24% (2). OR: Demand for EVs will fall (1) by proportionally more than the fall in income, indicating EVs are a luxury / normal good (1).	**2**	Accept reference to EVs being income-elastic or a luxury good. Annotate with ✓.
16 (c)	**Using a demand and supply diagram, explain how a government subsidy to EV manufacturers affects the EV market.** Up to 3 marks for diagram: • Accurate labelling of axes (Price, Quantity) (1) • Accurate labelling of curves with correct rightward shift of supply S → S1 (1) • Accurate labels of old and new equilibrium (P,Q) and (P1,Q1) (1) Up to 2 explanation marks: • Subsidy reduces firms' costs of production, shifting S right (1) • Equilibrium price falls (P → P1) and equilibrium quantity rises (Q → Q1) (1) • Consumers gain through lower prices; producers gain through higher revenue per unit including subsidy (1) *Maximum 4 marks overall.*	**4**	Annotate with ✓. Diagram must show subsidy as a clear rightward shift of supply, with labelled axes. Accept a vertical-distance interpretation of subsidy if correctly indicated. **Quantitative skills rewarded.**
16 (d) (i)	Using XED = +0.6, explain the relationship between EVs and petrol cars. XED is positive, therefore EVs and petrol cars are substitutes / in competitive demand (1). Value of 0.6 is positive but less than 1, so the relationship is relatively weak — a change in the price of one only moderately affects demand for the other (1).	**2**	Accept: 'A rise in the price of petrol cars leads to a less-than-proportional rise in demand for EVs' (1).

<table>
<tr><th>Question</th><th>Answer</th><th>Mark</th><th>Guidance</th></tr>
<tr><td>16 (d) (ii)</td><td>Explain how the growth in demand for EVs affects the producer surplus of lithium producers.

EV demand rises → derived demand for lithium increases (1)
Lithium prices rise (as shown in passage – 290% rise) (1)
Lithium producers receive a higher price per unit / supply may extend (1)
Producer surplus (area between price and supply curve up to quantity sold) increases (1)

Alternatively, up to 3 marks for a correctly labelled diagram showing original and new producer surplus.</td><td>4</td><td>Candidate must recognise lithium as a raw material in EV production for full marks. Annotate with ✓.</td></tr>
</table>

16 (e)* – Levels of response (10 marks)

Level / mark	Descriptor
Level 3 (7–10 marks)	**Reasonable application** of economic concepts to context. **Strong analysis** with well-developed chains of reasoning; accurate, integrated diagram(s) with no errors affecting validity. **Strong evaluation** of different perspectives; consideration of counter-arguments / extent / limitations; a logical and well-supported judgement.
Level 2 (4–6 marks)	**Reasonable application** – possibly inconsistent. **Reasonable analysis** – single links rather than fully developed chains; diagram errors that affect validity or not integrated. **Reasonable evaluation** – some developed chains; counter-arguments considered; an unsupported judgement.
Level 1 (1–3 marks)	**Limited application** – generic or irrelevant data. **Limited analysis** – lacks structure; simple statements; diagrams absent or with significant errors. **Limited evaluation** – simple statements; stated or absent judgement.
0 marks	Response is not worthy of credit.

16 (e)*: Evaluate, using an appropriate diagram(s), the effects on petrol car manufacturers of an increase in demand for electric vehicles.

The side of the argument presented first should be credited as Analysis with the other side credited as Evaluation.

Application
• XED between EVs and petrol cars is +0.6 → substitutes/competitive demand
• New BEV registrations rose by ~2000% from 2018 to 2023
• Government incentives (Plug-in Grant, VED exemption) influenced consumer choice

Analysis – Negative impact on petrol car manufacturers
• Demand for petrol cars shifts left (D → D1); equilibrium price falls (P → P1) and quantity falls (Q → Q1), reducing total revenue
• Falling revenue may force petrol car producers to cut output and lay off workers
• Petrol car producers may need to invest heavily in retooling factories for EV production – significant sunk costs
• Producer surplus for petrol car firms falls

Evaluation – Possible mitigating effects
• Demand may only fall slowly because EVs remain expensive and charging infrastructure is limited – PED for petrol cars is fairly inelastic in the short run
• Petrol car manufacturers can diversify into EV production using existing brand reputation and supply chains
• Many manufacturers (e.g. VW, Ford) produce both petrol and electric vehicles, partially offsetting losses
• Demand for second-hand petrol cars may remain strong

Judgement(s)
• Depends on the size and persistence of the demand shift, government policy and PED/PES
• Short-run vs long-run effects differ – short run losses, long run adjustment via diversification
• Depends on whether firms can effectively switch production

SECTION C – Levels of response (20 marks)

Level / mark	Descriptor
Level 4 (16–20)	Good KU; strong application; strong analysis with well-developed chains and accurate integrated diagram(s); strong evaluation with logical and well-supported judgement.
Level 3 (11–15)	Good KU; good application; good analysis beyond single links; diagrams predominantly correct; good evaluation; unsupported judgement.
Level 2 (6–10)	Reasonable KU; reasonable application; reasonable analysis with single links; diagram errors affecting validity; reasonable evaluation; unsupported judgement.
Level 1 (1–5)	Limited KU; limited application; limited analysis lacking structure; diagrams absent or with significant errors; limited evaluation; stated or absent judgement.
0 marks	Response is not worthy of credit.

17*: Evaluate, using an appropriate diagram(s), the effectiveness of government subsidies in correcting market failure in the EV market.

The side of the argument presented first should be credited as Analysis with the other side credited as Evaluation.

Knowledge and Understanding
• Market failure – including externalities (negative production externalities of petrol cars; positive consumption externalities from EV use)
• Subsidies as a method of government intervention
• Allocative efficiency (P = MC) and welfare gains
• Government failure and opportunity cost of subsidies

Application
• Plug-in Car Grant, VED exemptions, charge point subsidies
• XED = +0.6, YED = +2.4, PED = –1.3
• 2000% rise in BEV registrations 2018–2023

Analysis
• Diagram: subsidy shifts supply right (S → S1); price falls (P → P1); quantity rises (Q → Q1); welfare gain shown as triangle between MSB and MPB
• Lower price increases consumer surplus and quantity consumed
• Positive externalities (cleaner air, lower CO■) are internalised, moving output closer to the social optimum
• Producer surplus rises, encouraging more firms to enter the market and benefit from economies of scale, reinforcing the long-run fall in EV prices

Evaluation
• Subsidies are expensive – opportunity cost (healthcare, education spending forgone)
• Government may have imperfect information about the 'right' size of subsidy → government failure
• Subsidies may benefit higher-income households (regressive) since EVs are expensive
• Manufacturers may capture some of the subsidy through higher list prices
• Inelastic supply in the short run (raw material constraints, e.g. lithium) limits the rise in output
• Alternative policies: tax on petrol cars, regulation/standards, investment in public transport

Possible judgement(s)
• Effectiveness depends on the size of the subsidy, the YED/PED of EVs and complementary policies (e.g. charging infrastructure)
• In the long run, subsidies plus regulation are likely more effective than subsidies alone
• A subsidy is more effective if it targets areas where positive externalities are greatest (e.g. dense urban areas)

18*: Evaluate, using an appropriate diagram(s), the role of the price mechanism in allocating resources within an economy.

The side of the argument presented first should be credited as Analysis with the other side credited as Evaluation.

Knowledge and Understanding
• Functions of the price mechanism – signalling, incentivising, rationing
• Allocative, productive and economic efficiency
• Market failure and inefficient allocation

Application
• EV market – rising demand pushes prices up, signalling firms to expand production
• Rising lithium prices incentivise extraction and exploration
• Petrol car market – falling demand signals firms to reduce output / switch resources

Analysis
• Diagram: increase in demand (D → D1) raises price (P → P1), incentivising more production (Q → Q1)
• Higher price acts as a signal to producers and rations the good among consumers willing to pay
• Resources are reallocated towards goods that consumers value most highly
• Producer surplus rises, attracting new firms (increases supply in long run)

Evaluation
• Market failures (externalities, asymmetric information, public goods) prevent the price mechanism from allocating efficiently
• Petrol cars produce negative externalities not reflected in their market price
• EV positive externalities are under-valued without subsidy
• Inequality – the price mechanism allocates to those who can pay, not those who need most
• Some goods (public goods, merit goods) are under-produced by the market

Possible judgement(s)
• The price mechanism works well in competitive markets without externalities but fails when externalities are large
• A mixed economy combining the price mechanism with selective government intervention is generally most effective
• The judgement depends on the scale of externalities, equity considerations and quality of government policy

ASSESSMENT OBJECTIVES GRID

Question	AO1	AO2	AO3	AO4	TOTAL	(QS)
1–15	7	6	2		**15**	(5)
16(a)	1(1)				**1**	(1)
16(b)(i)	1(1)	1(1)			**2**	(2)
16(b)(ii)	1	1			**2**	
16(c)	2	2(2)			**4**	(2)
16(d)(i)	1	1			**2**	
16(d)(ii)	2	2			**4**	
16(e)*		1	4	5	**10**	
17*/18*	3	4(2)	6(3)	7(3)	**20**	(8)
TOTAL	**18**	**18**	**12**	**12**	**60**	**18**